Is the SaaSpocalypse Real? The Data Is Already In.

The AI displacement thesis has been falsified in reported numbers. The multiples haven't moved. This post asks why.



PRIMARY SOURCE ARBITRAGE

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The SaaSpocalypse had a specific thesis. **AI kills SaaS seats.** Fewer users, lower renewal rates, revenue headwinds, margin compression. Seat-based software loses to agents. It was falsifiable.

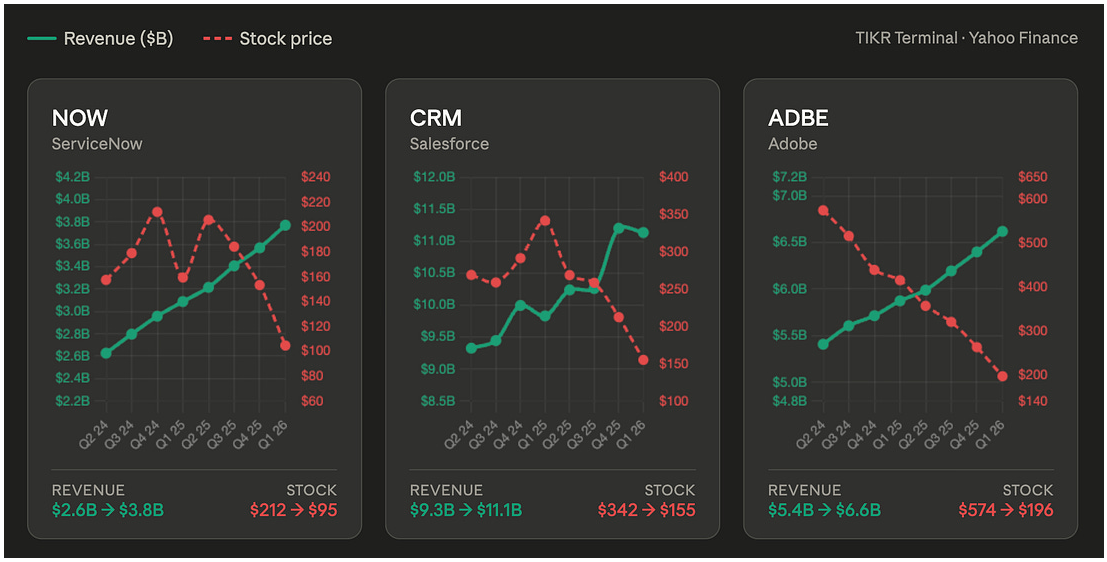
The reported numbers have **falsified it.**

ServiceNow revenue grew 22.1% YoY in Q1 2026. Salesforce revenue grew 13.3% YoY in Q1 FY2027, the highest growth rate in two years. Adobe revenue grew 12.7% YoY in Q2 FY2026, the second consecutive quarter of acceleration from 10.5%. All three companies are reporting AI-additive metrics simultaneously. All three multiples have **compressed 40 to 65%** over the last twelve months.

COMPANY	JUNE 2025	JUNE 2026	CHANGE	REV GROWTH
ServiceNow NYSE: NOW	42.26x	14.80x	−65%	+22.1%
Salesforce NYSE: CRM	16.21x	9.12x	−44%	+13.3%
Adobe NASDAQ: ADBE	14.92x	6.08x	−59%	+12.7%

NTM EV/EBITDA · Source: TIKR Terminal Rev growth = latest quarter YoY

Revenue is accelerating. Multiples are compressing. Both are in the reported numbers. The question this post is asking is not whether the data is in. It is. The question is **why the multiple has not responded to revenue that is already accelerating**, and what specifically has to be true for it to do so.



Quarterly revenue and stock price, Q2 2024 to Q1 2026. Revenue sourced from TIKR Terminal. Stock price sourced from Yahoo Finance

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The Reported Numbers

Let's start with the most direct falsification. The displacement thesis requires seats to shrink as agents grow. Fewer humans, fewer subscriptions, revenue compression. That is the mechanism.

Salesforce Q1 FY2027

Robin Washington verbatim:

> **"Our largest applications, sales and service saw YoY seat growth with humans and agents both expanding on the platform."**

Milano verbatim:

> **“7 of the top 10 deals added seats, new seats.”**

Agentforce ARR crossed $1 billion. 28.6 trillion tokens processed, up 152% QoQ. 3.8 billion agentic work units, up 111% QoQ. The top 10 customers by AWU usage increased total Salesforce spend **1.5x in the last year.** Seats grew. Agents grew. Both simultaneously. The mechanism the displacement thesis requires is not in the reported data.

Benioff named the SaaSpocalypse on the call. He invited two customers onto the earnings call specifically to address it: James Schenck, CEO of PenFed Credit Union, and Pallavi Mynampati with Michael Burke from UCLA Health. Mynampati verbatim when Benioff asked her directly:

> **“I think fundamentally, we’re looking at this technology with our business problem in mind.”**

Not speculative adoption. ROI-driven deployment already in production. The CEO of one of the largest software companies in the world put two customer examples on a live earnings call to rebut the thesis by name. The stock is **57% below its ATH,** set in December 2024.

ServiceNow Q1 2026

Subscription revenue $3.671 billion, up 19% in constant currency, above the high end of guidance. cRPO $12.64 billion, up 21% in constant currency, one point above guidance. Renewal rate 97%. Now Assist raised from a $1 billion target to a $1.5 billion trajectory mid-call. **50% of net new business** from non-seat-based pricing.

McDermott verbatim:

> **“There has never been a tailwind for ServiceNow like AI.”**

Adobe Q2 FY2026

Revenue $6.62 billion, up 12.7% YoY, second consecutive quarter of acceleration. AI-first ARR crossed $500 million, up 3x YoY. Firefly ARR approaching $300 million, up approximately 50% QoQ. cRPO growing 12% in constant currency, accelerating from 11% in Q1. Enterprise customers with over **$10 million in ARR growing above 20% YoY.** Adobe sits at $196. Its ATH is 3x that.

None of this is guidance. None of it is management framing. These are reported numbers from filed earnings releases and live transcripts.

Why the Multiple Has Not Moved

Revenue is accelerating across all three companies. The multiples compressed anyway. Most analysis stops there.

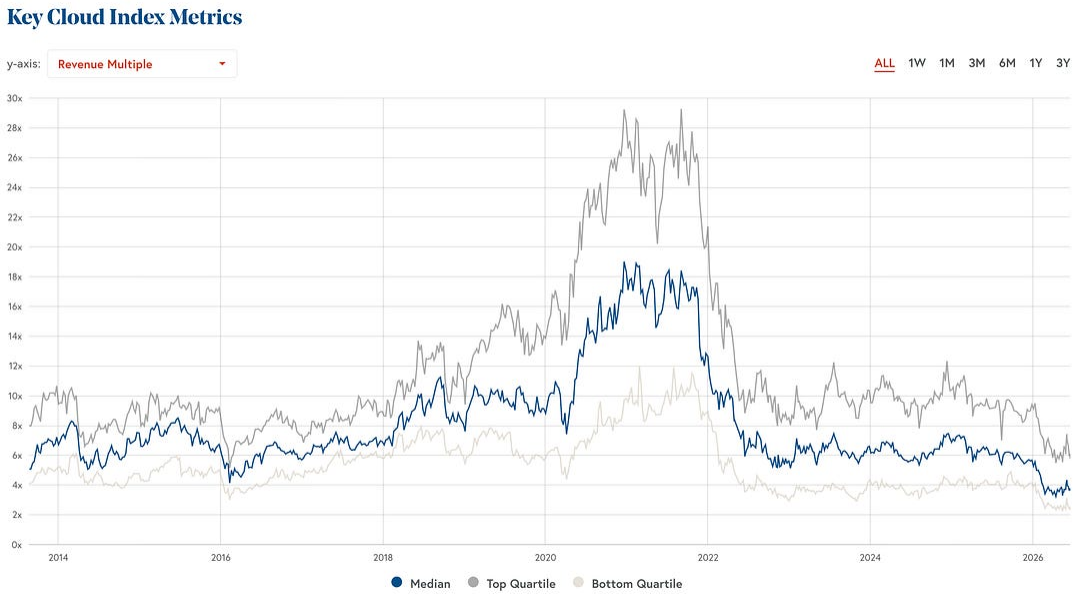
The answer is not irrational. Capital has **rotated from the application layer to the infrastructure layer.** SOXX, the iShares Semiconductor ETF, is up over 100% year to date. IGV, the software ETF is down 13% over the same period. The market is not selling tech. It is making a deliberate bet on who wins the AI build phase. The picks and shovels get paid first. The application layer gets paid when monetization proves out.

The displacement narrative became the consensus view across the institutional investor base from late 2024 through 2025. AI kills seats, agents replace subscriptions, application layer software loses. Investors rotated out of application software and into infrastructure. The narrative and the rotation are the same trade.

The problem is that the evidence no longer matches the story that justified the rotation. The application layer is already monetizing. Seats are growing alongside agents at Salesforce. Renewal rates are holding at 97% at ServiceNow. Revenue is accelerating at all three companies simultaneously. The rotation thesis assumed the application layer would

wait for infrastructure to mature before showing monetization. **That is not what the reported numbers show.**

The BVP Nasdaq Emerging Cloud Index median revenue multiple peaked above 18x in 2021 and sits at 3.65x today. The median, top quartile, and bottom quartile all compressed in parallel. The basket sold together on the way down. It re-rates together when the monetization case becomes undeniable.



BVP Nasdaq Emerging Cloud Index median EV/Revenue multiple. Median peaked above 18x in 2021, currently 3.65x as of June 17, 2026. Source: cloudindex.bvp.com

Three companies printing AI-additive numbers while revenue accelerates is the beginning of that break. It has not transmitted yet.

What Closes the Gap

The displacement thesis has already been falsified in reported numbers. Seats grew alongside agents. Renewal rates held. Revenue accelerated.

That part is done.

What has not happened is the multiple catching up to the data. That gap is not analytical. It closes when H2 revenue acceleration **stops being a guided expectation and starts showing up in actual reported subscription revenue lines** across multiple major constituents simultaneously. That is what hits models, triggers index-level rebalancing, and forces the rotation to unwind.

The sequence of upcoming data points:

- Salesforce Q2 FY2027 reports approximately August 2026. Q1 already confirmed net new AOV outpacing AOV growth, the condition Washington guided as the setup for H2 revenue reacceleration. Q2 confirmation in August locks in the booking momentum that converts into reported revenue in H2.
- ServiceNow Q2 2026 reports are expected in July 2026. Q3 2026 in October. If Now Assist drives subscription revenue above street consensus in both quarters, **that is the first confirmation** that AI consumption is accelerating fast enough to force model upgrades and index-level re-rating. The next prints are the most important data points in the next six months.

The Honest Caveat

Something being undervalued does not mean it will go up. The rotation from application to infrastructure does not reverse automatically on more good quarters. It reverses when the **monetization case becomes undeniable at the index level.** Revenue is already accelerating. The question is whether it continues at sufficient scale to force the rotation to unwind. More quarters of accelerating revenue increase the probability of a break. It does not guarantee one. The timing is unknown in advance.

The Close

The displacement thesis was falsifiable. Seats grew alongside agents at Salesforce. Renewal rates held at 97% at ServiceNow. Revenue accelerated at all three companies simultaneously. The CEO of one of the largest software companies in the world put two customer witnesses on a live earnings call to rebut the thesis by name.

Revenue is already accelerating. The multiples compressed anyway.

The question is not whether the data is in. It is. The question is **how long the rotation trade takes to unwind** as evidence accumulates that the application layer is already monetizing.

Pushback welcome.

Disclosure: I hold a position in Adobe. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: ServiceNow Q1 2026 earnings call transcript and press release, April 22, 2026 — McDermott and Mastantuono verbatim; Salesforce Q1 FY2027 earnings call transcript, May 27, 2026 — Benioff, Washington, Milano, Mynampati verbatim; Adobe Q2 FY2026 earnings call prepared remarks and transcript, June 11, 2026 — Narayen, Wadhwani, Day verbatim. TIKR Terminal quarterly revenue data and forward multiples as of June 17, 2026. BVP Nasdaq Emerging Cloud Index average revenue multiple and median revenue multiple peak sourced from cloudindex.bvp.com as of June 17, 2026. SOXX and IGV year to date performance data sourced from Yahoo Finance as of June 18, 2026.